error that leads you to believe you were on the right side of those collapses when (statistically speaking) you most certainly were not.

The reason for this: You now KNOW how that event turned out. Your memory combines what you know today and what (you imagine) you knew then. Of course, given what we know in 2025, you were cautious in 2008–09! Once you know what happened, you cannot recall ever *not* knowing!

The key takeaway from Thaler's research is that we cannot trust ourselves to think clearly, plan patiently, or consistently make the right decisions.

Rather than assuming your brain knows what's best for you, you need to make better decisions insulated from your cognitive foibles. That three-pound brain has 200 billion neurons and 125 trillion synapses and is a marvel of biomechanical engineering. It adapted and evolved to keep you alive in the wild. It's less successful at surviving risk/reward decisions in the capital markets.

Thaler teaches us not to let our software interfere with our investment process. By circumventing those instincts, you can outsmart your brain. One way is to own a broad asset allocation of diversified low-cost indexed ETFs, rebalance them regularly, and stay out of your own way.

What goes on in our brains as we make risk/reward decisions? Figuring that out is the purview of the field of neuroeconomics. Let's see what this area can teach us.

---

364 "Masters in Business," launched in 2014, and was the first mainstream long-form finance interview podcast. (It's the most fun I have all week.)

365 Richard H. Thaler, *Misbehaving: The Making of Behavioural Economics* (Penguin, 2016).